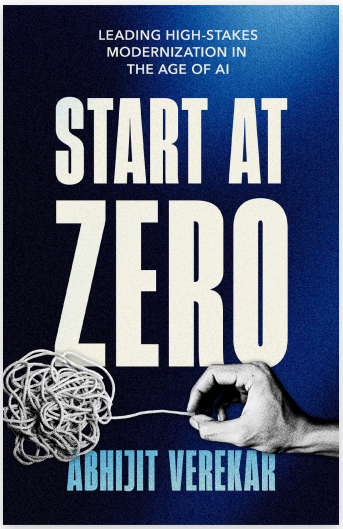
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FREE CHAPTER

START AT ZERO · CHAPTER 01

The $216 Million Wake-Up Call

Why independent consulting beats vendor-led implementations: how Europe's largest local authority turned a working system into a catastrophe, and what Monroe County did differently.



Birmingham City Council ran one of the most successful government ERP systems in the world for twenty years. Then it walked from success into a £216 million catastrophe. Monroe County, New York faced the same challenge and made the opposite choice.

The complete first chapter of *Start at Zero*, free to read and share with your team.

What You'll Learn

Every government technology leader has heard the horror stories: implementations that consume budgets, destroy careers, and leave organizations worse off than before they started. But the most instructive disasters aren't the ones caused by bad software or incompetent staff. They're the ones that happen to capable organizations making reasonable decisions, organizations that do everything they're told is right and still end up in catastrophe.

This chapter examines two organizations that faced identical challenges and made opposite choices. Birmingham City Council, Europe's largest local authority, transformed a working system into a £216 million disaster that bankrupted the city and ended careers. Monroe County, New York, facing the same aging infrastructure and modernization pressures, is delivering a successful implementation that's proceeding on schedule and on budget. The difference wasn't the software they chose, the vendors they hired, or the expertise of their staff. The difference was whether anyone in the room had both the authority and the incentive to protect their interests when vendor interests diverged from their own.

Understanding what separated these outcomes establishes the foundation for everything that follows in this book: the Phase Zero preparation that creates clarity before vendors arrive, the procurement strategies that attract capable partners while maintaining independence, the governance structures that keep implementations on track, and the organizational change management that determines whether new systems actually transform operations or simply replace one set of problems with another.

The Success Story Nobody Remembers

Before examining the disaster that made headlines worldwide, we need to understand the success that makes Birmingham's failure so tragic and so preventable.

For twenty years, Birmingham City Council quietly operated one of the world's most successful government ERP implementations, a distinction that deserves emphasis because success in government technology is rare enough to warrant celebration. Their SAP system, launched in 1999, came in on time and on budget, a phrase so unusual in government IT that it bears repeating: on time and on budget. The system delivered £100 million in savings over its first five years while boosting productivity by 15% across the council's operations. Birmingham City University was so impressed by the implementation's success that they partnered with SAP to create an entire master's degree program built around studying what Birmingham had accomplished.

Month after month, year after year, for two decades, that SAP system performed the unglamorous work of local government: processing payroll for 13,000 employees, cutting checks to suppliers, collecting council tax from residents, managing budgets across dozens of departments. The system wasn't exciting, wasn't transformational in the buzzword sense that vendors love to promote, and never generated headlines. It simply worked, reliably and consistently, enabling Birmingham to serve its citizens while other councils struggled with failed implementations and technology crises.

Understanding this history matters because it reveals the magnitude of what Birmingham subsequently destroyed and the preventability of the disaster that followed.

The Walk from Success into Catastrophe

In 2018, Birmingham faced a challenge that thousands of organizations worldwide continue to confront: SAP had announced end-of-support for older ERP versions by 2025, requiring customers to either upgrade within the SAP ecosystem or migrate to alternative platforms. The existing system, managed through a joint venture with Capita called Service Birmingham, incurred annual costs of approximately £5.1 million. Council leadership determined they needed to evaluate options for moving to a modern platform, either a newer SAP version or an alternative provider. This was a reasonable decision that organizations across the globe were making and continue to make today.

Birmingham selected Oracle's Cloud ERP platform as their replacement, and this choice itself was entirely defensible. Oracle offers a robust suite of ERP and HCM solutions that have been successfully deployed at government organizations worldwide, with references and case studies demonstrating the platform's capability for public sector operations. The software wasn't the problem. The vendor wasn't the problem.

The problem was everything Birmingham didn't do.

Birmingham didn't invest in Phase Zero preparation to understand their current state, document their actual requirements, and establish clarity about what success would look like before vendors began shaping the conversation. They didn't establish independent oversight to provide a perspective in the room whose sole purpose was protecting council interests. They didn't create a governance structure that separated advice from delivery, that could evaluate vendor recommendations objectively rather than accepting them as directives. Instead, they handed their transformation entirely to vendors and system integrators who had everything to gain from expanded scope, extended timelines, and additional complexity that might or might not serve Birmingham's actual needs.

Consider the structural problem this created: Birmingham effectively hired the architect, contractor, and building inspector from the same company, or from companies whose financial relationships meant their

interests aligned with each other rather than with Birmingham's. No one in the room had both the authority and the incentive to say "this recommendation serves vendor interests more than council interests" or "this scope expansion isn't necessary for success" or "this timeline extension reflects vendor staffing challenges rather than project requirements."

By September 2025, the consequences of this structural failure had become undeniable. Birmingham City Council Leader John Cotton convened an emergency meeting that would echo through British local government for years, confronting a situation that had spiraled far beyond anyone's initial projections. The £19 million project had consumed over £100 million with no clear endpoint in sight. The council faced a £750 million budget shortfall driven significantly by technology costs. Birmingham, Europe's largest local authority serving over a million citizens, was effectively bankrupt.

The full scope of the disaster defied belief: total costs exceeding £216 million and still climbing, a timeline stretching past seven years with basic functionality still missing, systems lacking audit trails that any government finance operation requires, and human consequences including 600 employees laid off, services slashed across the council, and libraries closed to fund a technology project that still couldn't perform basic statutory reporting.

Original budget	Total cost and climbing	Jobs lost	Monroe County Phase Zero
£19M	£216M+	600	18 mo

Why Vendor-Led Implementations Fail Predictably

Birmingham's story demands attention not because it represents an unusual catastrophe but because it represents a typical one. The same pattern has played out with SAP implementations, Workday implementations, Microsoft implementations, and Oracle implementations across the globe, with the specific vendor mattering far less than the structural conditions that allowed failure to compound unchecked.

A senior finance manager who lived through Birmingham's catastrophe described the experience in terms that illuminate why these failures follow such predictable patterns: "We kept waiting for someone to protect us, to push back on the vendor's recommendations when they didn't seem right. But everyone in the room was incentivized for the project to grow. The vendors, the integrators, even the consultants we hired for advice, they all made more money when things got complicated. We never stood a chance."

> "We kept waiting for someone to protect us, to push back on the vendor's recommendations when they didn't seem right. But everyone in the room was incentivized for the project to grow."
>
> A senior finance manager at Birmingham City Council

Three structural flaws consistently doom vendor-led implementations regardless of which software platform or which specific vendors are involved.

The first flaw involves fundamental incentive misalignment that creates conflicts built into the project's foundation. When organizations hire system integrators on time-and-materials contracts, the integrator's revenue correlates directly with project duration and complexity. Extended timelines generate more billable hours. Expanded scope triggers change orders that increase total contract value. Efficiency becomes a financial penalty for the integrator because finishing six months early means losing six months of revenue. Meanwhile, the client's incentive points in exactly the opposite direction: finishing as quickly as possible with minimal scope expansion. When the entity responsible for managing schedule and scope profits from both

slipping, the conflict of interest is mathematical rather than moral, structural rather than personal. Good people operating within bad structures produce bad outcomes.

The second flaw involves expertise assumptions that prove unfounded when implementations encounter government-specific complexity. Software vendors bring deep technical knowledge of their platforms, and system integrators bring implementation methodology refined across hundreds of projects. But neither typically brings genuine understanding of government operational requirements, the statutory obligations, political dynamics, citizen service expectations, and accountability structures that make public sector implementations fundamentally different from private sector deployments. Birmingham's auditors found that implementation teams fundamentally misunderstood UK local government requirements, delivering a system that couldn't perform basic statutory reporting that any council finance operation requires. Technical excellence means nothing when the system can't do what government actually needs.

The third flaw involves accountability vacuums that prevent anyone from owning outcomes when implementations go wrong. When projects fail, the finger-pointing begins immediately and continues indefinitely. Software vendors blame system integrators for poor configuration and inadequate change management. System integrators blame software limitations and unexpected platform behaviors. Everyone blames "changing requirements" that supposedly emerged from the client, as if organizations shouldn't be allowed to clarify their needs as understanding develops. Nobody accepts responsibility for outcomes because the structure allows everyone to point elsewhere.

The Monroe County Model: How Independence Changes Everything

While Birmingham's disaster was unfolding across the Atlantic, Monroe County in New York faced the exact same challenge that had initiated Birmingham's catastrophe: an aging SAP system requiring modernization, end-of-support deadlines approaching, and pressure to move toward modern cloud-based platforms. The parallels were striking enough that Birmingham's experience could have served as a warning, but only if Monroe County structured their approach to avoid the same traps.

The County issued an RFP for consulting services to guide their modernization journey, and multiple firms responded with proposals, including several Big Four firms whose scale and brand recognition typically dominate such competitions. The presentations that followed revealed fundamentally different philosophies about what government technology consulting should accomplish.

The large firms arrived with familiar scripts emphasizing their partnerships with major software vendors, their proprietary accelerators and methodologies, and their track records implementing systems at scale. When County leadership asked about Birmingham's experience and what it might mean for Monroe County's approach, the responses were dismissive: "Birmingham's situation is unique," they assured the evaluation committee, implying that whatever had gone wrong there couldn't happen here.

When my firm's turn came, we started with questions rather than answers, seeking to understand Monroe County's specific situation rather than immediately proposing solutions. Then we said something that made the room visibly uncomfortable: "Monroe County could end up exactly like Birmingham if you make the same fundamental mistake they made. Birmingham jumped straight into vendor selection without proper preparation, without understanding their current state clearly enough to evaluate what vendors were proposing. More critically, they had no independent voice in the room whose sole purpose was protecting their interests when vendor recommendations might serve vendor interests more than council interests."

The County's evaluation committee asked the question that would determine everything that followed: "So what exactly would your role be if we selected you?"

"We would serve as your independent PMO and oversight partner throughout the entire journey," we explained. "When you eventually select your software vendor, we'll help evaluate them objectively because we don't receive commissions, referral fees, or partnership revenues from any of them. When your system integrator proposes scope changes or timeline extensions, we'll assess whether those proposals serve your interests or theirs. We're like having your own expert representation in every room where decisions get made."

Monroe County selected our firm, and we spent eighteen months in Phase Zero preparation before the County ever issued an RFP for software. During that period, we documented current state operations in detail that would later enable objective evaluation of vendor proposals. We identified the specific pain points and requirements that any new system would need to address. We established governance structures that would maintain oversight throughout implementation. We prepared the organization for the change that was coming rather than allowing vendors to shape expectations based on what they wanted to sell.

When Monroe County finally went to market for software, they possessed what Birmingham had lacked: clarity. The RFP didn't ask vendors for vague promises about "transformation" or "best practices" that could mean anything. It posed specific scenarios drawn from actual Monroe County operations, requiring vendors to demonstrate how their platforms would handle the County's real complexity rather than idealized use cases that any system could address.

Six vendors responded to that RFP. After rigorous evaluation with our firm providing independent assessment unmarried to any vendor relationship, Monroe County selected Workday as their software platform and AVAAP as their system integrator. But the structure Monroe County created diverged completely from Birmingham's approach by maintaining three distinct layers with clearly separated responsibilities.

The foundation layer consists of the software vendor, in this case Workday, whose responsibility centers on product development, platform stability, and feature delivery. The execution layer consists of the system integrator, AVAAP, whose responsibility encompasses configuration, bespoke extensions where genuinely necessary, and technical implementation. The oversight layer consists of the independent PMO, our firm, whose responsibility focuses on scope control, change management, schedule integrity, and client advocacy. Above all three layers sits the Executive Sponsor, the County executive empowered to make final decisions when the layers disagree, ensuring that someone with authority and accountability owns outcomes rather than allowing disputes to drift unresolved.

This structure created something Birmingham never had: productive tension between parties whose interests don't automatically align. When Workday suggested additional modules that would expand the implementation footprint, we asked whether those modules were necessary for go-live success or represented scope creep that could be deferred to future phases. When the system integrator proposed timeline extensions, we pressed for specific issues driving the delay and whether those issues reflected genuine complexity or resource management challenges the integrator should resolve internally. When configuration decisions arose that would affect long-term operations, we ensured County staff understood the implications rather than deferring to vendor recommendations without scrutiny.

A County executive described the difference this structure created: "Having independent oversight in the room changed everything about how decisions got made. Suddenly, vendor recommendations became discussions rather than directives. We had someone whose only job was protecting our interests, someone who could ask the uncomfortable questions without worrying about damaging a vendor relationship they needed for future business. It's like having your own attorney when buying a house. You wouldn't sign contracts involving millions of dollars without independent representation, so why would you implement an ERP system that way?"

Recognizing the Warning Signs

Organizations heading toward Birmingham-style disasters rarely recognize the trajectory until crisis becomes undeniable. The warning signs appear early, but they're easy to rationalize when projects maintain momentum and vendors provide reassuring status reports. Understanding these patterns enables intervention while course correction remains possible.

During procurement, warning signs include absence of Phase Zero preparation work that establishes clarity before vendors shape the conversation, lack of independent oversight structure that could evaluate vendor proposals objectively, vendor-led requirements gathering that allows vendors to define the problems they're proposing to solve, compressed timelines justified by urgency to "maintain momentum" rather than adequate time for proper evaluation, and decision committees where vendor representatives outnumber or dominate client voices.

During implementation, warning signs include patterns where every discovery session leads to scope expansion rather than occasional scope refinement balanced by scope reductions elsewhere, mounting change orders treated as normal project evolution rather than signals of inadequate initial planning, original consultants who impressed during sales being replaced by junior resources who lack the expertise that justified selection, testing phases compressed to meet deadlines rather than timelines adjusted to accommodate thorough testing, and no one empowered to say "no" to vendor expansion recommendations regardless of their merit.

During emerging crisis, warning signs include sudden engagement of vendor executives who had been absent during routine operations, multiplication of "tiger teams" and "war rooms" that signal problems too severe for normal project management, lawyers entering conversations that had previously been technical and operational, media inquiries about project status that suggest external visibility into internal problems, and careers beginning to end as accountability finally arrives too late to prevent disaster.

Ask yourself a simple question right now: who in your current or planned implementation has both the authority and the incentive to say "no" to vendor expansion when vendor interests diverge from yours? If you cannot name that person, if no one in your structure occupies that role, then you don't have independent protection and you're relying on vendor goodwill to substitute for structural safeguards. Birmingham relied on that same hope, and £216 million later, they learned what that hope was worth.

The Path Forward

As you read this, your organization likely faces pressures similar to those that confronted Birmingham and Monroe County. Legacy systems are aging, and vendors are announcing end-of-support dates that create urgency. Technical debt accumulates as workarounds and patches maintain systems never designed for current demands. Citizens expect modern services delivered through digital channels your current infrastructure struggles to support. Federal and state mandates impose requirements your legacy systems cannot meet without expensive bespoke development.

The vendors are already calling, and their presentations are impressive. They're promising transformation, innovation, and revolution. They have case studies and references and demonstrations that make everything seem achievable. And there's nothing inherently wrong with their software or their implementation expertise, both of which can deliver genuine value when properly managed and overseen.

What vendors cannot provide is someone in the room whose sole purpose is protecting your interests. They cannot provide the productive tension that emerges when independent oversight questions recommendations

that might serve vendor interests more than client interests. They cannot provide the accountability structure that prevents problems from hiding behind optimistic status reports until crisis makes them undeniable.

Birmingham had a working system that served the council effectively for twenty years, and they destroyed it. Not because they chose the wrong software, not because Oracle's platform couldn't meet their needs, not because their staff lacked capability or commitment. They destroyed it because they had no one protecting their interests when vendor interests diverged, no structure that could say "no" when "no" was the right answer, no independence that could have maintained clarity when complexity and cost began compounding beyond reason.

Monroe County is succeeding with the same fundamental challenge, the same modernization pressures, the same vendor landscape, simply because they built a structure that aligned everyone's interests with their own success. Independent oversight doesn't guarantee success, but its absence virtually guarantees the conditions where failure becomes likely and where early warning signs get rationalized until intervention becomes impossible.

Your Three Key Takeaways

1. Software doesn't fail; governance structures do. Birmingham's disaster wasn't about Oracle specifically, and substituting any other vendor's name would change nothing about the underlying dynamics. The same failure pattern occurs with every software platform when independent oversight is absent, when no one in the room has both the authority and the incentive to protect client interests, and when vendors face no productive tension that challenges recommendations serving their interests over yours. The technology matters far less than the structure within which technology decisions get made.

2. Phase Zero preparation determines implementation success long before implementation begins. The eighteen months Monroe County invested in understanding their current state, documenting their actual requirements, establishing governance structures, and preparing their organization for change will save them years of crisis management that Birmingham now faces with no clear resolution in sight. Vendors who urge you to skip this preparation, who promise their methodologies will surface requirements during implementation, who characterize Phase Zero as unnecessary delay, are asking you to make the same mistake that cost Birmingham £216 million and counting.

3. Independent oversight isn't optional; it's the structural foundation that makes everything else possible. You wouldn't purchase a home without your own inspector evaluating the property, sign complex contracts without your own attorney reviewing the terms, or undergo major surgery without seeking a second opinion from a physician whose income doesn't depend on performing the procedure. Why would you implement an enterprise system that will shape your operations for the next decade without independent representation protecting your interests throughout the journey?

Your Immediate Action

Within the next two weeks, conduct an honest assessment of your current or planned implementation's structural integrity by answering three questions that reveal whether you have genuine protection or merely the appearance of oversight.

First, identify everyone on your implementation team, both current staff and planned participants, who profits financially if scope expands, timelines extend, or complexity increases. This includes vendors and system integrators billing time and materials, consultants with partnership arrangements or referral relationships with vendors, and anyone else whose compensation correlates with project growth rather than project success. Understanding who benefits from expansion reveals whose recommendations require independent validation.

Second, identify who in your structure has genuine authority to say "no" to vendor recommendations, someone who can reject proposed scope changes, push back on timeline extensions, and question whether vendor suggestions serve your interests or theirs. This person must have both the positional authority to make their "no" stick and the independence from vendor relationships that makes their judgment trustworthy. If this person doesn't exist, you have a structural gap that no amount of good intentions can fill.

Third, identify who is accountable solely to you, someone whose only success metric is your success, who receives no revenue from software vendors or system integrators, and whose professional reputation depends entirely on your implementation achieving its objectives. This is the role that Monroe County filled with independent oversight and that Birmingham never established.

If you cannot answer these questions satisfactorily, or if the answers reveal gaps in your protection structure, you're on a path that leads toward Birmingham rather than Monroe County. But unlike Birmingham at this stage in their journey, you still have time to change course. The chapters that follow will show you exactly how to do that, beginning with the Phase Zero preparation that creates clarity before vendors arrive and continuing through procurement, vendor selection, governance, and organizational change management that maintain independence throughout implementation.

The choice between Birmingham's trajectory and Monroe County's trajectory isn't made once in a dramatic decision point. It's made in dozens of structural choices about who participates in decisions, whose interests get represented, and whether anyone in the room has both the authority and the incentive to protect you when protection is needed most.

> **Put Chapter 1 to work this week**
>
> The five templates that come with this chapter turn its lessons into tools you can use on Monday:
>
> - **01 Phase Zero 100-Day Checklist**: the preparation Birmingham skipped.
> - **02 Three-Layer RACI Matrix**: the vendor, integrator and independent PMO structure Monroe County used.
> - **03 AI Governance & Readiness Assessment**: readiness before AI, not after.
> - **04 Vendor Evaluation Scorecard**: evidence over demos.
> - **05 Go/No-Go Decision Criteria**: the option to stop before it costs millions.
>
> All five: startatzero.averoadvisors.com/toolkit · Weekly field notes: avavero.substack.com

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